

May ESI stabilises but still portends weakness

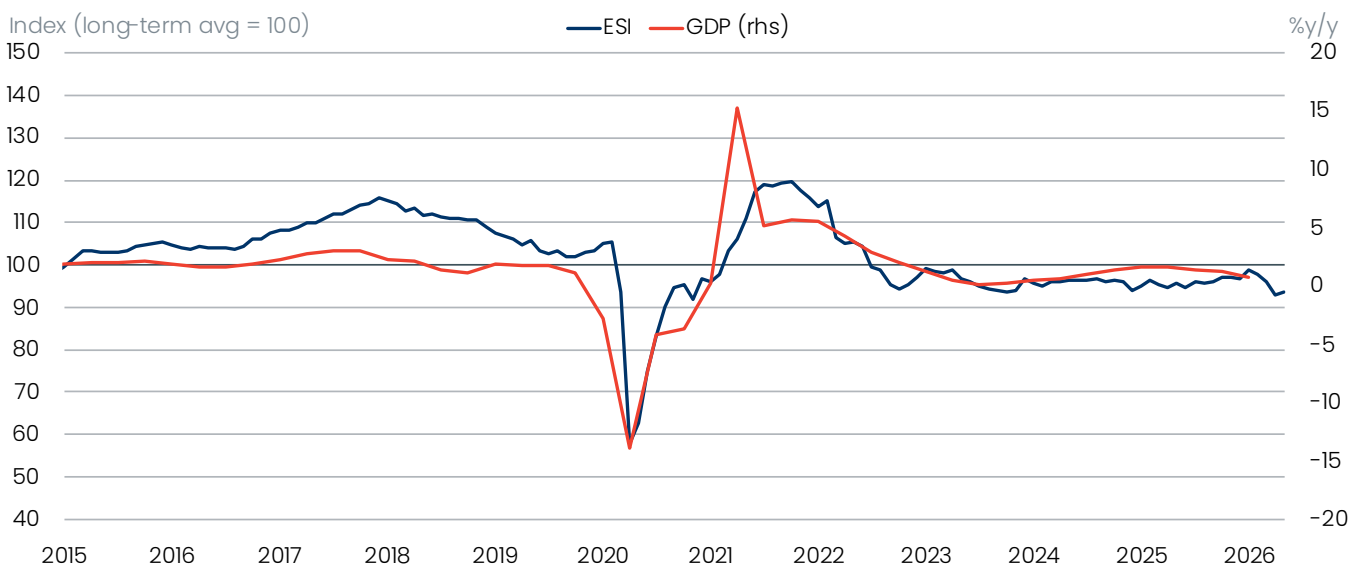
- Today's Economic Sentiment Index edged up 0.3 pts to 93.5 in May, after plummeting in April. The reading was less downbeat than the recent PMIs, but the index remains well below the pre-war figures and its long-run average, consistent with a weak near-term outlook.
- The improvement was led by an uptick in consumer confidence and services sentiment which improved after experiencing steep falls in April. The upturn was narrow, as industry, retail and construction sentiment all declined. In industry concerns over order books and production expectations worsened.
- Price expectations eased across all sectors in May but remain elevated. This leaves inflation risks uncomfortably high and supports our view that the ECB will deliver a 25bps hike in June. Meanwhile, the sharp fall in retail sales in Spain in April offer a first glimpse into the impact of the crisis on real activity.

Today's ESI edged up 0.3pts to 93.5 in May, after it plummeted 4pts in April. The headline index remains well below its long-run average, and still consistent with a weak near-term outlook, as the shock from the Iran war is still feeding through from prices and uncertainty into broader activity. At a country level the ESI improved most in Germany and France, while it remained broadly stable in Italy and Spain.

At the sector level, the rise was led by sentiment improvements for consumers and services as managers reassessed the past and future situation more positively. Industry confidence declined slightly as managers' assessments of production expectations and current level of stocks weakened, adding to our call that [industry resilience won't last indefinitely](#).

Chart 1: A faltering ESI adds to the case for lower growth in Q2

Eurozone: Economic Sentiment Indicator and GDP growth



Sources: Oxford Economics, Haver Analytics

Selling price expectations eased across all business sectors in May, bucking the trend of the last two months. However, these expectations remain significantly elevated and combined with the PMIs evidence of accelerated passthrough, we think that inflation risks will remain uncomfortable and consistent with our forecast that the ECB will deliver a 25bps hike in June.

Employment expectations picked up 2.1 pts to 95.4, reversing half of the drop in April. The indicator does remain below its average, and while it settled, consumer's expectations worsened further in May which could deter consumer spending in favour of precautionary saving. On a brighter note, the labour hoarding indicator remains above its long-term average, suggesting that for now, while firms are more pessimistic about hiring, they are also somewhat reluctant to cut headcounts.

Meanwhile, retail sales data in Spain offered a glimpse of the first impact of the Middle East conflict on real activity indicators. Retail sales fell a sharp 1.5% over the previous month, and 1.1% even when excluding petrol stations, which shows the decline was broad-based and not only a consequence of higher fuel prices. The April fall means a decline in retail sales in Q2 is likely and shows that even an economy with strong momentum like Spain is starting to feel the hit from inflation on consumer spending.

Overall, today's ESI doesn't dispel fears that the Eurozone outlook has deteriorated materially. The key question is now whether the hard data confirm the negative survey message. We will get the first major Q2 evidence next week in the form of April retail sales, and the early signs from Spain are not encouraging. Alongside the weak PMIs, gloomy Ifo expectations and lack of progress on Iran, today's release adds downside risk to our already below consensus Eurozone GDP forecast.